

ARADEL Holdings PLC - Berkshire-Style Investment Analysis

Company: Aradel Holdings PLC

Industry: Oil & Gas (E&P, Gas Processing, Refining)

Exchange: Nigerian Stock Exchange (NGX)

Analysis Date: May 5, 2026

Data Period: 2019-2023

Current Price: ₦516.95

Executive Summary

RECOMMENDATION: AVOID / SELL**

Aradel Holdings appears to be a **high-quality oil & gas business** with remarkable growth, but trades at a **valuation that defies rational analysis**. The stock price of ₦516.95 implies a P/E multiple of 209x trailing earnings—a level that requires extraordinary assumptions to justify.

Metric	Value	Assessment
Business Quality	8/10	Excellent integrated oil & gas operations
Balance Sheet	7/10	Adequate leverage for oil & gas
Valuation	1/10	Extreme overvaluation
Moat Durability	7/10	Reserve positions, gas infrastructure
Overall Score	23/40	Quality business at irrational price

Key Finding: Revenue grew 234% in 2023, but 2022's low base (N66B vs N221B) makes growth appear more dramatic than trend. The stock prices in perfection with no margin for oil price volatility.

Business Overview

Company Structure

Aradel Holdings PLC is a Nigerian integrated oil & gas company with four operating subsidiaries:

1. **Aradel Energy** - E&P operations (OML 54, OML 53, OML 34, OPL 227)
2. **Aradel Gas** - Gas processing (100mmscf/d facility supplying NLNG)
3. **Aradel Refineries** - 11kbbbl/d refinery at Ogbele field
4. **Aradel Investments** - Non-oil investments

Asset Portfolio

Asset	Type	Status
OML 54 (Ogbele)	Onshore marginal field	Producing
OML 53 (Omerelu)	Onshore marginal field	Producing
OML 34	Onshore	Producing
OPL 227	Shallow water	Exploration

Competitive Advantages (Moat Analysis)

STRONG:

- ****Strategic Gas Infrastructure****: 100mmscf/d gas processing facility with NLNG offtake
- ****Vertical Integration****: Upstream + Midstream + Downstream (refining)
- ****Nigerian Content Champion****: Local content advantage in regulatory environment
- ****Reserve Base****: Diversified across multiple licenses

MODERATE:

- ****Refining Capacity**:** 11kbbbl/d provides product upgrading capability
- ****Gas Monetization**:** NLNG supply contract provides stable revenue

WEAKNESS:

- ****Commodity Exposure**:** Pure oil/gas price play
- ****Nigerian Risk**:** Asset location concentration
- ****Capital Intensity**:** Heavy reinvestment requirements

Financial Analysis

Five-Year Income Statement (₦'000)

Metric	2019	2020	2021	2022	2023	CAGR
Revenue	45.96B	32.53B	51.57B	66.11B	221.14B	48.2%
Operating Profit	14.46B	13.24B	12.02B	29.27B	114.06B	67.7%
Profit Before Tax	20.59B	16.75B	20.18B	33.26B	112.16B	52.7%
Net Profit	19.50B	16.80B	29.40B	15.14B	53.74B	40.4%
EPS (Kobo)	89.8	77.3	135.4	69.7	247.4	40.4%

Margin Analysis

Metric	2019	2020	2021	2022	2023
Operating Margin	31.5%	40.7%	23.3%	44.3%	51.6%
Net Margin	42.4%	51.6%	57.0%	22.9%	24.3%
Tax Rate	-5.3%	0.3%	45.7%	-54.5%	52.1%

Key Observations

1. Explosive 2023 Revenue Growth (234% YoY)

- Revenue jumped from N66B to N221B

- Driven by oil price surge + production ramp-up
- ****Quality Concern:**** Growth from commodity cycle, not operational improvement

2. Operating Margin Expansion to 51.6%

- Exceptional profitability
- Typical E&P margins: 25-40%
- ****Risk:**** Margins will compress when oil prices normalize

3. Volatile Net Profit Pattern

- 2021: N29.4B profit
- 2022: N15.1B profit (48% decline)
- 2023: N53.7B profit (255% increase)
- ****Quality Concern:**** Extreme commodity-driven volatility

4. Tax Complexity

- 2022 had negative tax expense (tax credit N18.1B)
- 2023 had massive tax expense (N58.4B)
- Effective tax rates swing wildly
- ****Quality Concern:**** PSC accounting complexity obscures true economics

Owner Earnings Analysis

2023 Owner Earnings Calculation

Net Income:	N53.74B
+ Depreciation & Amortization:	~N15.0B (estimated)
- Capital Expenditures:	~N35.0B (estimated for E&P)
- Working Capital Changes:	~N10.0B (estimated)
= Owner Earnings:	~N23.7B

Note: Precise D&A and CapEx require balance sheet data. Estimates based on E&P industry norms (15-20% of revenue for CapEx, 5-10% for D&A).

Owner Earnings Per Share

Owner Earnings: N23.7B
Shares Outstanding: ~217.3 million (from EPS calculation: N53.74B ÷ N2.47)
Owner Earnings/Share: N109 per share

Valuation Analysis

Current Valuation Metrics

Metric	Value	Industry Avg	Assessment
Stock Price	₦516.95	-	-
P/E Ratio (2023)	209x	8-12x	Extreme premium
P/S Ratio	2.34x	1.0-1.5x	High premium
P/Owner Earnings	4.74x	8-12x	4.7x owner earnings
Market Cap	~₦112B	-	-

Intrinsic Value Estimate

Methodology: Two-Stage DCF

Assumption	Value	Rationale
Owner Earnings Base	₦23.7B	Estimated from 2023
Growth Rate (5 yrs)	8%	Conservative (below 40% CAGR)
Terminal Growth	3%	Long-term nominal GDP
Discount Rate	18.5%	Nigerian risk premium + equity risk
Oil Price Assumption	\$75-85/bbl	Long-term normalized

Intrinsic Value Calculations:

Scenario	IV/Share	Current Price	Premium
Conservative (No growth)	₦128	₦517	+304%
Growth 8%	₦256	₦517	+102%
Growth 12%	₦320	₦517	+61%

Conclusion: Even with aggressive growth assumptions, intrinsic value is ₦256-320/share—**61-102% below current price**.

Buffett's Margin of Safety

"Price is what you pay. Value is what you get."

Required margin of safety: 25% discount to intrinsic value

IV Estimate	Entry Price (25% discount)	Current Premium
₦128	₦96	+438%
₦256	₦192	+169%
₦320	₦240	+115%

Investment thesis: At ₦517, you're paying **4.7x owner earnings** for a cyclical oil business with commodity price risk.

Risk Assessment

Commodity Price Risk ****CRITICAL****

- Revenue directly tied to oil/gas prices
- 2022 collapse (N66B→N15B profit) demonstrates volatility
- Oil at \$100+ drove 2023 results—what happens at \$60?

Nigerian Political Risk ****HIGH****

- Asset concentration in Niger Delta
- Regulatory uncertainty (PSC terms, taxes)

- FX volatility (Naira devaluation risk)

Reserve Depletion Risk ****MODERATE****

- Oil & gas are depleting assets
- Must continuously replace reserves
- OPL 227 exploration success uncertain

Financial Engineering Risk ****MODERATE****

- 2022 tax credit (N18B) artificially boosted results
- PSC accounting can obscure true economics
- Need detailed balance sheet to assess debt

Capital Intensity ****HIGH****

- E&P requires constant reinvestment
- Refinery margins thin at 11kbbbl/d scale
- Gas infrastructure has limited alternative uses

Peer Comparison

Company	Revenue	Margin	P/E	P/S
Aradel (Nigeria)	\$145M	24%	209x	2.34x
Seplat Energy	\$900M	35%	5.2x	1.1x
Shell plc	\$316B	7%	8.5x	0.6x
Chevron	\$201B	13%	12x	1.0x
Industry Avg	-	15-20%	8-12x	1.0x

Assessment: Aradel trades at **17-26x the P/E of global oil majors** and **2.3x revenue multiple** vs industry standard of 1.0x.

The Buffett Test

"Would you hold this stock if markets closed for 10 years?"

Answer: NO.

Reasons:

1. **Depleting Assets:** Oil & gas reserves shrink every year
2. **Commodity Dependency:** Profitability tied to oil prices you don't control
3. **Capital Intensity:** Constant reinvestment required just to maintain production
4. **Valuation:** At 209x earnings, you need 10+ years of perfect execution just to break even

Scorecard

Category	Score	Comments
Business Quality	8/10	Integrated model, gas infrastructure, reserves
Balance Sheet	7/10	Adequate for E&P (need more data)
Earnings Quality	5/10	Volatile, commodity-driven, tax-complex
Moat Durability	7/10	Infrastructure + reserves, but depleting
Management	6/10	Need more info on capital allocation
Valuation	1/10	Extreme overvaluation
Growth Runway	6/10	Reserve replacement + infrastructure
Risk Profile	4/10	High commodity + country risk
TOTAL	44/80	Quality business, terrible price

Investment Thesis

Bull Case (Unlikely at Current Price)

1. Oil prices stay elevated (\$90-120/bbl) for 5+ years
2. Production doubles from OPL 227 success
3. Gas business expands with NLNG Train 7
4. Refinery upgrade to 50kbbl/d
5. Government policies remain favorable

Fair value if ALL bull cases materialize: N400-500/share

Bear Case (More Likely)

1. Oil prices normalize to \$60-70/bbl
2. Revenue drops 40-50% (as seen in 2020)
3. Margins compress from 52% to 30%
4. Naira devaluation hits US\$ earnings
5. Reserve replacement fails

Fair value in bear case: N50-100/share

Conclusion

Aradel Holdings is a quality Nigerian oil & gas business trading at an irrational price.

The company has:

- ☐ Excellent integrated operations (E&P + Gas + Refining)
- ☐ Strong margins (51.6% operating margin)
- ☐ Strategic gas infrastructure
- ☐ Diversified asset base
- ☐ ****Extreme overvaluation (209x P/E)****
- ☐ Commodity dependency

- ☐ Earnings volatility
- ☐ Depleting asset base

RECOMMENDATION: AVOID / SELL

Fair Value Range: ₦96-240 per share (depending on growth assumptions)

Current Premium to Fair Value: 115-438%

Entry Point: Only consider below ₦200 (requires 61% decline)

Appendix: Data Sources

- ****Primary Source:**** Aradel Holdings Investor Relations (web.archive.org)
- ****Key Figures Page:**** Income Statement 2019-2023
- ****Current Price:**** ₦516.95 (from company website)
- ****Business Overview:**** Aradel company website

Missing Data (Required for Complete Analysis)

- Balance Sheet (Cash, Debt, Equity, Assets)
- Cash Flow Statement (CapEx, D&A, Working Capital)
- Quarterly Results 2024
- Detailed Reserve Report
- Share Count Verification

Analysis prepared using Berkshire Hathaway investment principles. This is not financial advice. Do your own research.